

InnoScience (2577.HK)

800 VDC to drive GaN in AI data centers; initiate at Buy with TP at HK\$114

2577.HK

12m Price Target: **HK\$114.00**Price: **HK\$54.95**Upside: **107.5%**

InnoScience is a leading GaN (Gallium Nitride) supplier for consumer electronics, automotive, data centers, industrials, and humanoid robotics. We expect the company's GaN revenues to achieve a 73% CAGR in 2025-28E, driven by: (1) rising GaN penetration in data center power supplies to fulfill the requirements of ultra-high power density and ultra-high efficiency; (2) expanding applications from fast chargers into automotive (on-board chargers, LiDAR), industrials, data centers, and humanoid robots, with mix upgrades driving higher dollar content; and (3) capacity expansion of GaN wafers, with total capacity expected to reach over 68k wpm (wafer per month) by end-2029E. Accordingly, **we initiate InnoScience at Buy, with a 12m TP of HK\$114** (implying 22x 2027E P/S vs. 68% avg. revenue growth YoY in 2027E-28E).

Key debates center on GaN penetration rates and competition. Featuring high frequency, reduced power loss, and high cost-effectiveness, GaN devices are gradually expanding from fast chargers into automotive, industrial, and data center applications. With rising agentic workflows and accelerated computing, GaN devices can enhance system performance, efficiency, and density. InnoScience offers a comprehensive portfolio of high- and low-voltage products, spanning wafers, discrete devices, and modules to better meet customer needs. It also serves global leading customers across various segments (e.g., power semis, batteries, and smartphones), supporting its leading market position.

Catalysts: (1) 800 VDC ramp up with rising GaN adoption; (2) new capacity ramp up at the Suzhou sites; (3) margin expansion with larger scale; and (4) emerging new applications, such as humanoid robots.

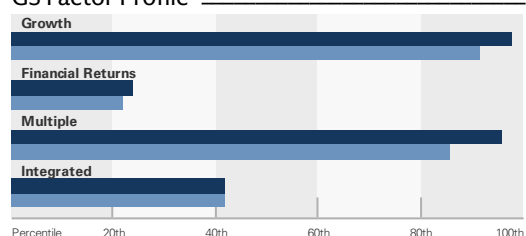
Valuation: Our 12m TP is based on 2030E discounted EV/EBITDA. Our target multiple of 29.5x for InnoScience is derived from peers' trading EV/EBITDA relative to its forward-year EBITDA YoY and

BUY**Allen Chang**+852-2978-2930 | allen.k.chang@gs.com
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Goldman Sachs (Asia) L.L.C.**Key Data**

Market cap: HK\$49.1bn / \$6.3bn
Enterprise value: HK\$51.1bn / \$6.5bn
3m ADTV: HK\$825.9mn / \$105.4mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	1,213.3	2,223.7	4,026.1	6,233.0
EBITDA (Rmb mn)	(361.8)	61.9	919.4	2,148.9
EPS (Rmb)	(0.95)	(0.40)	0.41	1.51
P/E (X)	NM	NM	116.1	31.5
P/B (X)	11.2	11.1	10.1	7.7
Dividend yield (%)	0.0	0.0	0.0	0.0
N debt/EBITDA (ex lease,X)	–	29.0	2.0	0.8
CROCI (%)	(0.3)	1.2	9.5	18.4
FCF yield (%)	(2.2)	(1.0)	(0.1)	0.1
	12/25	6/26E	12/26E	6/27E
EPS (Rmb)	(0.46)	(0.26)	(0.14)	0.17

GS Factor Profile

■ 2577.HK relative to Asia ex. Japan Coverage
■ 2577.HK relative to Greater China Technology

Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

InnoScience (2577.HK)

Rating since Jul 7, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	NM	NM	116.1	31.5
P/B (X)	11.2	11.1	10.1	7.7
FCF yield (%)	(2.2)	(1.0)	(0.1)	0.1
EV/EBITDAR (X)	NM	715.1	48.2	20.6
EV/EBITDA (excl. leases) (X)	NM	715.0	48.2	20.6
CROCI (%)	(0.3)	1.2	9.5	18.4
ROE (%)	(23.5)	(8.9)	9.1	27.7
Net debt/equity (%)	32.6	47.2	44.4	32.5
Net debt/equity (excl. leases) (%)	32.3	46.9	44.2	32.3
Interest cover (X)	(9.9)	(20.4)	19.4	60.1
Days inventory outst, sales	201.8	150.3	96.5	84.2
Receivable days	189.6	165.0	120.0	120.0
Days payable outstanding	151.7	160.0	160.0	160.0
DuPont ROE (%)	(20.1)	(9.3)	8.7	24.4
Turnover (X)	0.2	0.3	0.5	0.6
Leverage (X)	1.7	2.0	2.0	1.9
Gross cash invested (ex cash) (Rmb)	8,028.0	8,574.0	9,481.8	11,331.9
Average capital employed (Rmb)	4,452.1	5,575.5	5,831.1	6,686.9
BVPS (Rmb)	4.75	4.29	4.70	6.21

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	46.4	83.3	81.0	54.8
EBITDA growth	31.4	117.1	NM	133.7
EPS growth	25.3	58.3	203.1	269.1
DPS growth	NM	NM	NM	NM
EBIT margin	(71.4)	(17.8)	10.8	25.5
EBITDA margin	(29.8)	2.8	22.8	34.5
Net income margin	(69.3)	(16.0)	9.1	21.7

Price Performance

Source: FactSet. Price as of 7 Jul 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	1,213.3	2,223.7	4,026.1	6,233.0
Cost of goods sold	(1,124.5)	(1,780.6)	(2,775.4)	(3,887.8)
SG&A	(580.4)	(389.8)	(344.7)	(278.2)
R&D	(374.2)	(449.1)	(471.5)	(479.6)
Other operating inc./exp.)	—	—	—	—
EBITDA	(361.8)	61.9	919.4	2,148.9
Depreciation & amortization	(504.0)	(457.6)	(485.0)	(561.5)
EBIT	(865.8)	(395.7)	434.4	1,587.4
Net interest inc./exp.)	(49.5)	0.8	(4.0)	1.0
Income/(loss) from associates	—	—	—	—
Pre-tax profit	(840.0)	(354.8)	430.4	1,588.4
Provision for taxes	(0.5)	0.0	(64.6)	(238.3)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	(840.5)	(354.8)	365.8	1,350.2
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	(840.5)	(354.8)	365.8	1,350.2
EPS (basic, pre-except) (Rmb)	(0.95)	(0.40)	0.41	1.51
EPS (diluted, pre-except) (Rmb)	(0.95)	(0.40)	0.41	1.51
EPS (basic, post-except) (Rmb)	(0.95)	(0.40)	0.41	1.51
EPS (diluted, post-except) (Rmb)	(0.95)	(0.40)	0.41	1.51
DPS (Rmb)	—	—	—	—
Div. payout ratio (%)	0.0	0.0	0.0	0.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	879.0	835.7	978.8	1,040.3
Accounts receivable	776.2	1,234.3	1,413.0	2,685.4
Inventory	897.5	934.4	1,194.7	1,681.3
Other current assets	1,780.0	1,780.0	1,780.0	1,780.0
Total current assets	4,332.7	4,784.4	5,366.4	7,187.0
Net PP&E	2,372.0	2,676.2	2,932.6	3,185.7
Net intangibles	118.4	23.8	7.2	3.0
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	247.4	247.4	247.4	247.4
Total assets	7,070.5	7,731.9	8,553.7	10,623.1
Accounts payable	472.4	1,088.6	1,344.6	2,063.9
Short-term debt	336.1	736.1	936.1	936.1
Short-term lease liabilities	11.0	11.0	11.0	11.0
Other current liabilities	—	—	—	—
Total current liabilities	819.6	1,835.8	2,291.7	3,011.0
Long-term debt	1,893.6	1,893.6	1,893.6	1,893.6
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	176.7	176.7	176.7	176.7
Total long-term liabilities	2,070.3	2,070.3	2,070.3	2,070.3
Total liabilities	2,889.9	3,906.1	4,362.1	5,081.4
Preferred shares	—	—	—	—
Total common equity	4,180.6	3,825.8	4,191.6	5,541.7
Minority interest	—	—	—	—
Total liabilities & equity	7,070.5	7,731.9	8,553.7	10,623.1
Net debt, adjusted	1,350.8	1,794.0	1,851.0	1,789.4

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	(840.5)	(354.8)	365.8	1,350.2
D&A add-back	504.0	457.6	485.0	561.5
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(735.0)	121.2	(183.0)	(1,039.7)
Other operating cash flow	265.1	—	—	—
Cash flow from operations	(806.4)	224.0	667.8	871.9
Capital expenditures	(210.6)	(667.1)	(724.7)	(810.3)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(1,762.2)	(0.1)	(0.1)	(0.1)
Cash flow from investing	(1,972.8)	(667.2)	(724.8)	(810.4)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	—	—	—	—
Inc/(dec) in debt	302.8	400.0	200.0	—
Other financing cash flows	1,830.4	0.0	0.0	0.0
Cash flow from financing	2,133.2	400.0	200.0	0.0
Total cash flow	(646.0)	(43.2)	143.0	61.5
Free cash flow	(1,017.0)	(443.1)	(56.9)	61.6

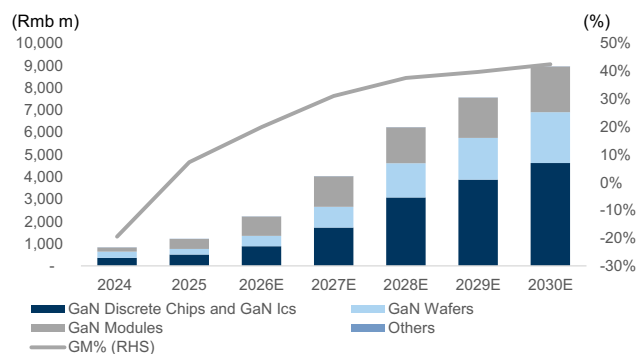
Source: Company data, Goldman Sachs Research estimates.

EBITDA margin. Our TP implies 22x 2027E P/S with avg. revenue growth at 68% in 2027E-28E.

Key risks: (1) Slower-than-expected GaN adoption; (2) fiercer-than-expected pricing competition of GaN products; and (3) longer-than-expected time to ramp up new GaN capacity.

InnoScience in six charts

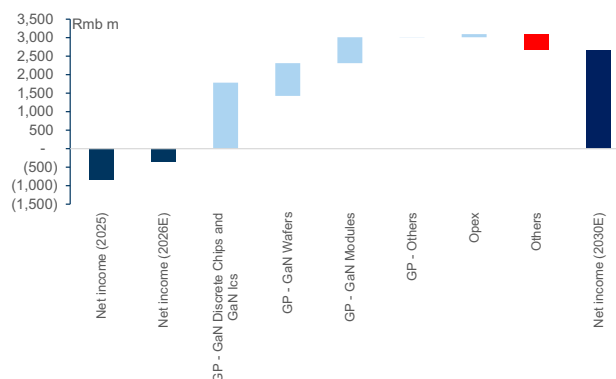
Exhibit 1: InnoScience revenues and GM trend in 2024-30E



Source: Company data, Goldman Sachs Global Investment Research

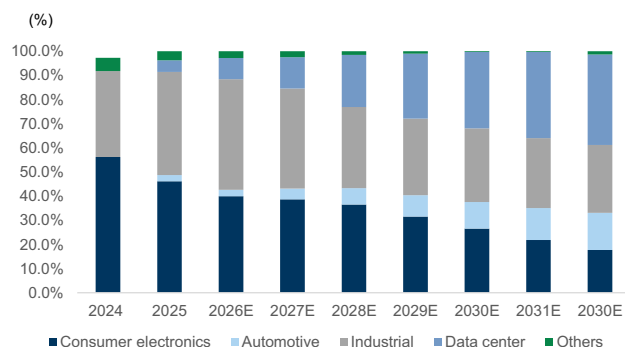
Exhibit 2: GaN wafer and GaN IC as key earnings drivers in 2025-30E

Waterfall chart in 2025-30E



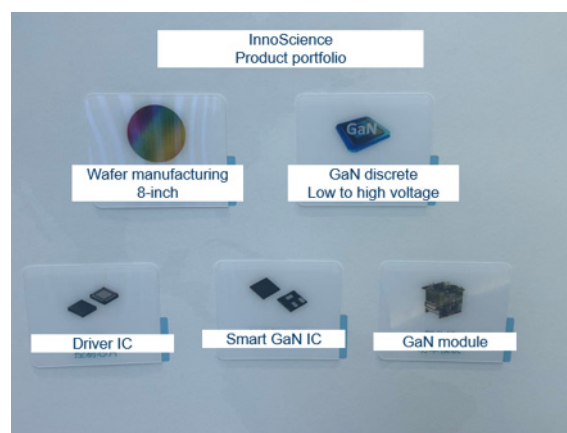
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Mix upgrade of InnoScience towards data center applications



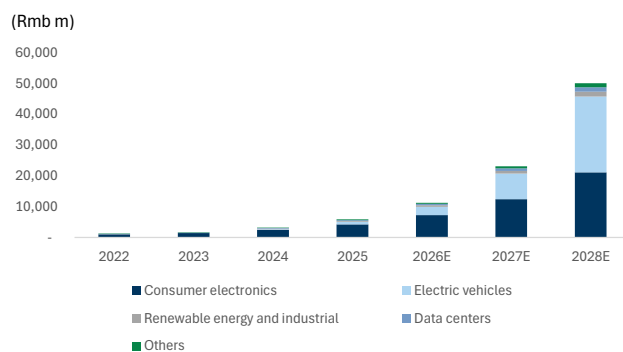
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: InnoScience GaN product portfolio



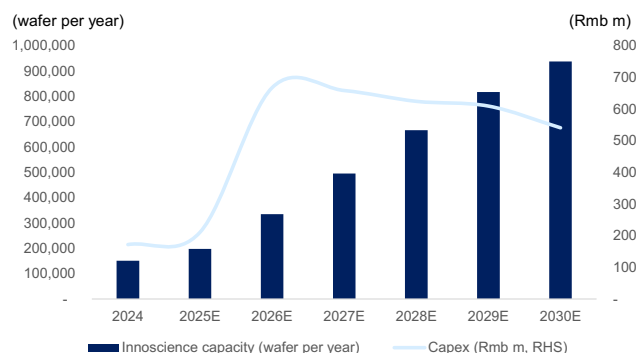
Source: Company data

Exhibit 5: Global GaN market to reach Rmb50bn in 2025-28E



Source: Frost & Sullivan

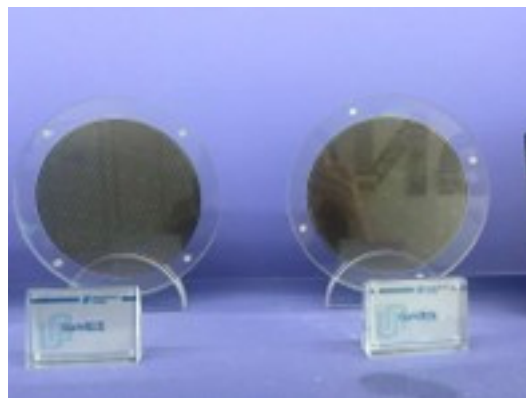
Exhibit 6: InnoScience GaN capacity in expansion



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: InnoScience GaN wafer

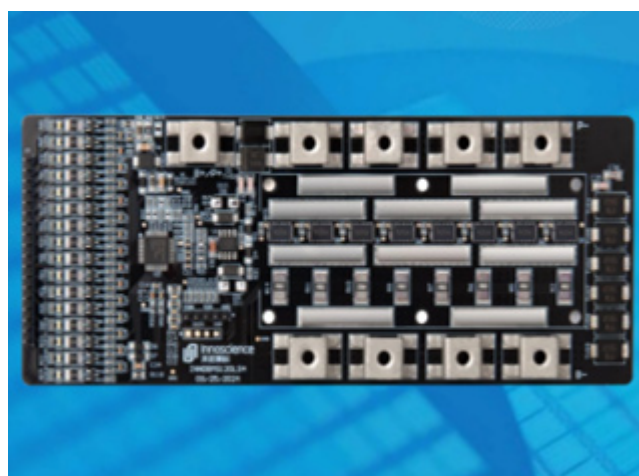
Source: Company data

Exhibit 8: InnoScience 8-inch GaN wafer products

Source: Company data

Exhibit 9: InnoScience GaN devices

Source: Company data

Exhibit 10: InnoScience GaN for BMS products

Source: Company data

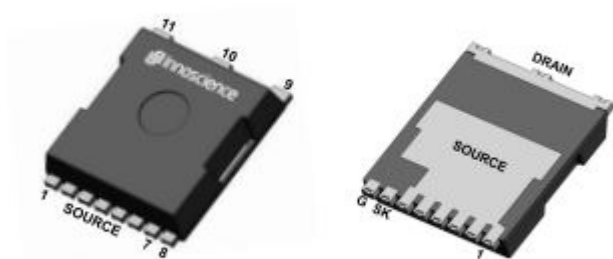
Exhibit 11: InnoScience GaN for data center VDC

Source: Company data

Exhibit 12: The company's GaN solutions can be used for data center applications

Source: Company data

Exhibit 13: InnoScience GaN devices for server power supply



Source: Company data

Exhibit 14: InnoScience offers comprehensive solutions across 15V to 1,200V

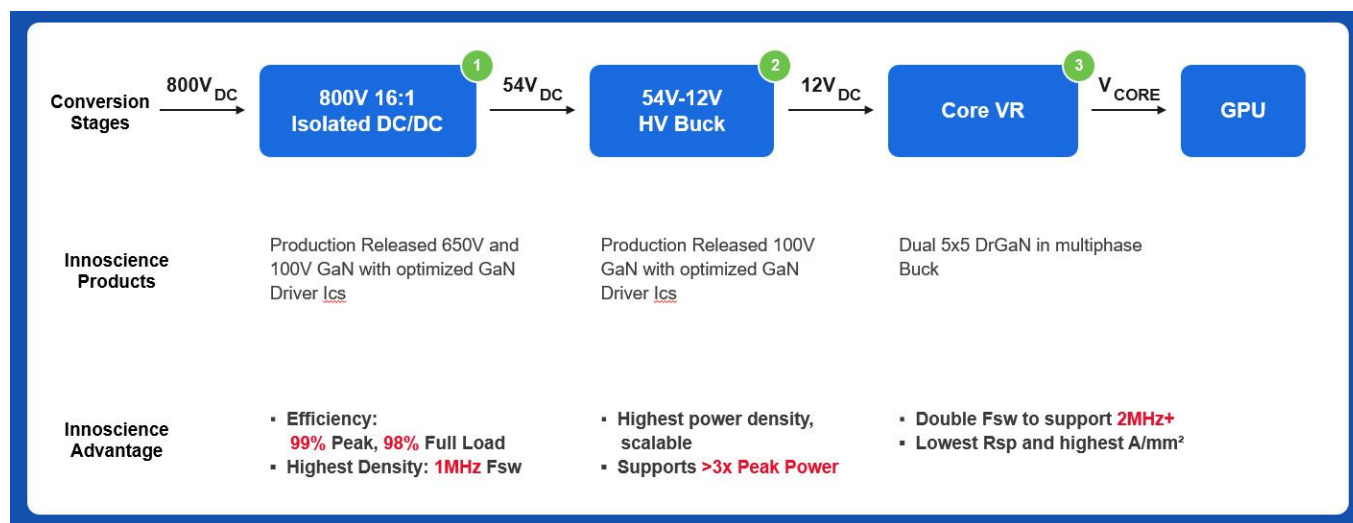


Source: Company data

GaN to ride on growing AI data centers

Given its high-frequency and high-efficiency advantages, GaN is increasingly utilized in AI data center server power supplies, or chip-level power delivery, which is one of the key challenges in AI infrastructure. As the industry transitions toward **800 VDC rack-level power architectures**, the demand for higher power density and efficiency has intensified, and we believe InnoScience's GaN devices are well positioned to enable higher switching frequencies to meet the 800V HVDC power density requirements.

InnoScience's comprehensive offerings to support data center clients: The company adopts the IDM model and has started mass production of GaN solutions from 15V to 1,200V, which enable full conversion from 800V to 100V and cover all conversion stages. InnoScience's products can be used in power conversion between 800V to 54V / 54V to 12V / 12V to 0.8V. Management highlighted that the company's solutions can reduce driver losses by 80% and reduce switching losses by 50%, supporting clients' overall decrease in power losses.

Exhibit 15: InnoScience product offerings for 800 VDC power architecture

Source: Company data

Exhibit 16: Key features of Si, GaAs, GaN, and SiC

Category	Key Features	First-Gen Semi	Second-Gen Semi	Third-Gen Semi	
		Si	GaAs	GaN	SiC
Key definition	-	Abundant reserves, easy to obtain, lower mass production cost	Superior electron mobility and saturation electron velocity	High electron mobility, high switching frequency, low on-resistance	high voltage resistance, suitable for high-temperature, high voltage applications
Bandgap (eV)	Thermal resistance voltage resistance	1.12	1.4	3.39	3.26
Breakdown Field (MV/cm)	Voltage resistance	0.3	0.4	3.3	2.8
Saturation Electron Velocity (10 ⁷ cm/s)	Switching frequency	1	2.1	2.7	2
Electron Mobility (cm ² /V•s)	On-resistance	1500	8500	2000	800
Main Applications	-	Logic, memory chips, etc.	Consumer electronics, communication base stations, laser radar, display screens, etc.	Consumer electronics, EVs, data centers, energy storage, photovoltaics, 5G communication, other industrial sectors, etc.	EVs, photovoltaics, rail transportation, 5G communication, other industrial sectors, etc.

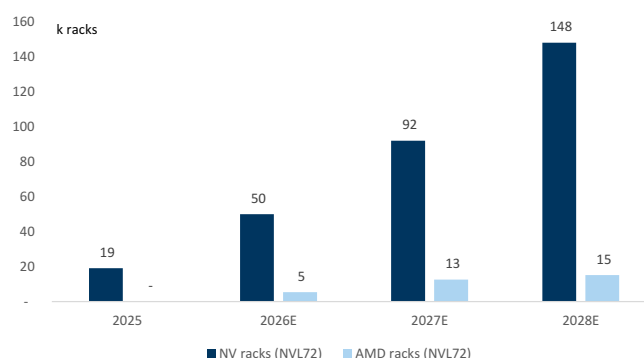
Source: Company data

The ramp up of AI chips and growing GaN penetration for efficiency improvement continue to drive the GaN market for VDC power architectures ahead. We model AI server rack shipments to reach 55k/105k/163k in 2026E/27E/28E ([report link](#)), reflecting our positive view on AI server racks, and rising ASIC adoption, with ASICs accounting for 50%/52%/55% of AI chips in 2026E/27E/28E. With rising GaN adoption at 2%/7%/17% in 2026E/27E/28E, we expect the market size of GaN for VDC power architectures to reach US\$118mn/US\$634mn/US\$1.9bn in 2026E/27E/28E.

Exhibit 17: We expect GaN for VDC demand market to reach US\$1.9bn in 2028E

	GaN for VDC TAM	2025	2026E	2027E	2028E	Remarks
1	Total GaN for VDC TAM (US\$m)	-	118	634	1,939	
2	GaN for GPU AI server GaN (Rack-level)	-	86	442	1,325	GaN TAM = # of GaN chips (Line 18) * GaN chips ASP (Line 22)
3	GaN for GPU AI server GaN (8-GPU)	-	-	-	-	
4	GaN for ASIC AI server	-	32	192	614	
5	# of AI chips (k units)	10,800	18,847	26,750	32,214	
6	GPU AI server chips (Rack-level)	3,053	4,929	8,467	12,687	
7	GPU AI server chips (8-GPU)	3,617	4,582	4,496	1,879	
8	ASIC AI server chips	4,130	9,337	13,787	17,649	
9	GaN adoption %	0%	2%	7%	17%	
10	GPU AI server chips (Rack-level)	0%	5%	15%	30%	
11	GPU AI server chips (8-GPU)	0%	0%	0%	0%	
12	ASIC AI server chips	0%	1%	4%	10%	
13	# of AI chips adopting GaN (k units)	-	340	1,822	5,571	# of AI chips adopting GaN = # of AI chips (Line 5) * GaN adoption (Line 9)
14	GPU AI server chips (Rack-level)	-	246	1,270	3,806	
15	GPU AI server chips (8-GPU)	-	-	-	-	
16	ASIC AI server chips	-	93	551	1,765	
17	# of GaN chips per AI chips (Units)		174	174	174	Assuming 100k GaN chips per 576 AI chips
18	# of GaN chips (m units)		59	317	969	
19	GPU AI server GaN (Rack-level)		43	221	662	# of GaN chips = # of AI chips adopting GaN (Line 13) * # of GaN chips per AI chip (Line 17)
20	GPU AI server GaN (8-GPU)		-	-	-	
21	ASIC AI server GaN		16	96	307	
22	ASP of GaN chips for data center (US\$)		2	2	2	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 18: AI server rack global shipments by chipset platform

Source: Goldman Sachs Global Investment Research

Financial highlights

Revenues: We forecast 73% CAGR in 2025-28E on the ramp up of GaN wafer and GaN discrete business, driven by: (1) continuous capacity expansion at the Suzhou sites, from a total capacity of around 20k units wpm by end of 2025 to 68k units wpm by end of 2029E; (2) more diversified applications: from fast chargers and consumer electronics to industrials, automotive, data centers, and humanoid robots; and (3) incremental contribution from 800 VDC rack server power architectures to offer power conversion solutions, achieving higher efficiency and high density, with higher GaN dollar content

per rack. InnoScience offers a comprehensive portfolio of high- and low-voltage products, spanning wafers, discrete devices, and modules to better meet customer needs. It also serves global leading customers across various segments (e.g., power semis, batteries, and smartphones), supporting its leading market position.

GM turned positive in 2025, and we expect GM to improve to 20% in 2026E and ~40% in the long term, driven by: (1) larger business scale, with revenues up from Rmb593mn in 2023 to c.Rmb2bn/Rmb6bn in 2026E/28E, and lower depreciation costs providing better operating leverage; (2) product mix upgrades toward high-end applications, including industrial/data center/automotive, which carry higher margins.

Exhibit 19: InnoScience P&L summary

Rmb m	1H25	2H25	1H26E	2H26E	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Income statement												
Revenues	553	660	1,025	1,199	593	828	1,213	2,224	4,026	6,233	7,571	8,962
GP	38	51	144	300	(362)	(161)	89	443	1,251	2,345	3,010	3,810
OP	(424)	(442)	(253)	(143)	(1,048)	(1,034)	(866)	(396)	434	1,587	2,257	3,056
EBITDA	(157)	(204)	(24)	86	(523)	(527)	(362)	62	919	2,149	2,991	3,987
Non OP	(5)	30	20	20	(54)	(12)	26	41	(4)	1	36	86
Pretax income	(428)	(412)	(232)	(122)	(1,102)	(1,045)	(840)	(355)	430	1,588	2,293	3,141
Net income	(429)	(412)	(232)	(122)	(1,102)	(1,046)	(841)	(355)	366	1,350	1,949	2,670
EPS (Rmb)	(0.49)	(0.46)	(0.26)	(0.14)	(1.38)	(1.28)	(0.95)	(0.40)	0.41	1.51	2.18	2.99
Margins												
GM	6.8%	7.7%	14.0%	25.0%	-61.1%	-19.5%	7.3%	19.9%	31.1%	37.6%	39.8%	42.5%
OPM	-76.6%	-67.0%	-24.7%	-11.9%	-176.8%	-124.7%	-71.4%	-17.8%	10.8%	25.5%	29.8%	34.1%
Pretax margin	-77.4%	-62.4%	-22.7%	-10.2%	-185.9%	-126.2%	-69.2%	-16.0%	10.7%	25.5%	30.3%	35.1%
EBITDA margin	-28.3%	-30.9%	-2.3%	7.2%	-88.3%	-63.7%	-29.8%	2.8%	22.8%	34.5%	39.5%	44.5%
NM	-77.5%	-62.4%	-22.7%	-10.2%	-185.9%	-126.2%	-69.3%	-16.0%	9.1%	21.7%	25.7%	29.8%
YoY												
Revenues	43%	49%	85%	82%	335%	40%	46%	83%	81%	55%	21%	18%
GP	-145%	-165%	279%	489%	na	na	na	399%	182%	88%	28%	27%
OP	na	na	na	na	na	na	na	na	na	265%	42%	35%
Pretax income	na	na	na	na	na	na	na	na	na	269%	44%	37%
Net income	na	na	na	na	na	na	na	na	na	269%	44%	37%
EBITDA	na	na	na	na	na	na	na	na	1384%	134%	39%	33%
HoH												
Revenues	25%	19%	55%	17%								
GP	na	35%	182%	109%								
OP	na	na	na	na								
Net income	na	na	na	na								

Source: Company data, Goldman Sachs Global Investment Research

GS vs. Bloomberg consensus: Our earnings estimates in 2027E/28E are 8%/11% higher than Bloomberg consensus, mainly driven by: (1) higher revenues on GaN product mix upgrade; and (2) better operating ratio with scale advantages.

Exhibit 20: GS vs. Bloomberg consensus

NT\$m	GS	2026E Cons.	Diff %	GS	2027E Cons.	Diff %	GS	2028E Cons.	Diff %
Revenues	2,224	2,221	0%	4,026	4,002	1%	6,233	6,083	2%
GP	443	452	-2%	1,251	1,201	4%	2,345	2,312	1%
OP	(396)	(457)	na	434	423	3%	1,587	1,409	13%
Net income	(355)	(465)	na	366	337	8%	1,350	1,221	11%
Margins									
GM	19.9%	20.4%		31.1%	30.0%		37.6%	38.0%	
OPM	-17.8%	-20.6%		10.8%	10.6%		25.5%	23.2%	
NM	-16.0%	-20.9%		9.1%	8.4%		21.7%	20.1%	

Source: Goldman Sachs Global Investment Research, Bloomberg

We forecast **CCC days** to improve from 256 days in 2025 to 105 days in 2030E, mainly on lower account receivable days and inventory days. The higher inventories in 2025 was mainly driven by the growing number of finished products, and we attribute it to the preparation of larger business scale for new clients. Looking ahead, we expect inventory days to improve from 218 days in 2025 to 188 days in 2026E and 135 days in 2030E.

We forecast **ROE** to turn positive in 2027E improving from -24% in 2025 to 30% in 2030E, mainly on rising asset turnover as revenue scales up; and **FCF** to turn positive in 2028E to Rmb62mn and reach Rmb1,561mn in 2030E, mainly on improvement in

operation cash flow driven by rising profits.

Exhibit 21: InnoScience balance sheet

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Balance Sheet								
Cash and equivalents	329	1,525	879	836	979	1,040	3,889	5,450
Accounts receivable	337	484	776	1,234	1,413	2,685	2,293	3,600
Inventory	417	444	897	934	1,195	1,681	1,693	2,118
Other current assets	29	6	1,780	1,780	1,780	1,780	1,780	1,780
Current assets	1,112	2,460	4,333	4,784	5,366	7,187	9,655	12,948
Net PP&E/Fixed assets	3,061	2,742	2,372	2,676	2,933	3,186	3,210	2,952
Net intangibles	273	198	118	24	7	3	1	1
Other long-term assets	146	148	247	247	247	247	247	247
Non-current assets	3,480	3,087	2,738	2,947	3,187	3,436	3,459	3,200
Total assets	4,591	5,547	7,071	7,732	8,554	10,623	13,114	16,148
Accounts payable	410	462	472	1,089	1,345	2,064	1,935	2,300
Short-term debt	508	522	336	736	936	936	500	500
Other current liabilities	8	11	11	11	11	11	11	11
Current liabilities	926	996	820	1,836	2,292	3,011	2,446	2,811
Long-term debt	1,546	1,404	1,894	1,894	1,894	1,894	3,000	3,000
Other long-term liabilities	155	176	177	177	177	177	177	177
Non-current liabilities	1,701	1,580	2,070	2,070	2,070	2,070	3,177	3,177
Total liabilities	2,627	2,576	2,890	3,906	4,362	5,081	5,623	5,987
Common stock	10,528	12,415	14,372	14,372	14,372	14,372	14,372	14,372
Retained earnings	(9,016)	(10,061)	(10,902)	(11,257)	(10,891)	(9,541)	(7,592)	(4,922)
Other reserve	452	617	780	780	780	780	780	780
Other common equity	-	(0)	(69)	(69)	(69)	(69)	(69)	(69)
Total common equity	1,964	2,971	4,181	3,826	4,192	5,542	7,491	10,161
Minority interest	-	-	-	-	-	-	-	-
Total equity	1,964	2,971	4,181	3,826	4,192	5,542	7,491	10,161
Cash conversion cycle								
Account receivable days	150	181	190	165	120	120	120	120
Inventory days	153	159	218	188	140	135	135	135
Net payable days	186	161	152	160	160	160	160	150
Cash conversion cycle	116	179	256	193	100	95	95	105
Ratios								
ROE (common equity)	-45%	-42%	-24%	-9%	9%	28%	30%	30%
ROA	-21%	-21%	-13%	-5%	4%	14%	16%	18%
Net debt to total equity	88%	14%	33%	47%	44%	32%	-5%	-19%
Net cash per share (Rmb)	(2.17)	(0.50)	(1.55)	(2.02)	(2.09)	(2.02)	0.42	2.17
Total liabilities to total assets	57%	46%	41%	51%	51%	48%	43%	37%
Dupont analysis								
Asset turnover	0.1	0.2	0.2	0.3	0.5	0.7	0.6	0.6
Leverage (assets to equity)	2.1	2.1	1.8	1.8	2.0	2.0	1.8	1.7
Net margin	-186%	-126%	-69%	-16%	9%	22%	26%	30%
CROCI (EDBITA/total equity)	-27%	-18%	-9%	2%	22%	39%	40%	39%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 22: InnoScience cash flow statement

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash flow statement								
Net income	(1,102)	(1,046)	(841)	(355)	366	1,350	1,949	2,670
Minority interest add-back	-	-	-	-	-	-	-	-
Depreciation and amortization add-back	525	506	504	458	485	561	734	932
(Increase)/decrease in working capital	(377)	(122)	(735)	121	(183)	(1,040)	252	(1,368)
Other operating cash flow items	361	326	265	-	-	-	-	-
Cash flow from operating	(594)	(336)	(806)	224	668	872	2,936	2,233
Capital expenditure	(331)	(172)	(211)	(667)	(725)	(810)	(757)	(672)
Other investment cash flow items	670	43	(1,762)	(0)	(0)	(0)	(0)	(0)
Cash flow from investing	338	(129)	(1,973)	(667)	(725)	(810)	(757)	(672)
Dividends paid	-	-	-	-	-	-	-	-
Change in common stock	10,528	1,888	1,956	-	-	-	-	-
Increase/(decrease) in short-term debt	70	14	(186)	400	200	-	(436)	-
Increase/(decrease) in long-term debt	(86)	(142)	489	-	-	-	1,106	-
Other financing cash flow items	(10,638)	(98)	(125)	-	-	-	-	-
Cash flow from financing	(127)	1,662	2,134	400	200	-	670	-
Net change in cash	(382)	1,196	(646)	(43)	143	62	2,849	1,561
FCF	(925)	(508)	(1,017)	(443)	(57)	62	2,178	1,561
Ratio								
Capex to revenue	56%	21%	22%	30%	18%	13%	10%	8%

Source: Company data, Goldman Sachs Global Investment Research

Valuation

We derive our 12m TP of HK\$114 based on the 2030E discounted EV/EBITDA methodology to capture the company's long-term growth, in line with our GC Tech coverage. We apply a target EV/EBITDA multiple of 29.5x on 2030E EBITDA, and discount it back to 2027E with a COE of 9.5% (beta at 1.0, risk-free rate at 3.0%, and market risk premium at 6.5%). Our target EV/EBITDA multiple is derived from: (1) peers' forward-year EV/EBITDA vs. the sum of EBITDA YoY and EBITDA margin; (2) InnoScience's forward-year avg. EBITDA YoY (26% in 2030E-31E) and avg. EBITDA margin of 35% in 2030E-31E. **Initiate at Buy.**

Cross check: Our TP implies 2027E P/S of 22x, in line with the company's avg. P/S of 22x since Apr 2025 (listed in Jan 2025).

Exhibit 23: InnoScience discounted EV/EBITDA

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Revenue	593	828	1,213	2,224	4,026	6,233	7,571	8,962	9,929	10,674
Revenue YoY		40%	46%	83%	81%	55%	21%	18%	11%	8%
GM	-61.1%	-19.5%	7.3%	19.9%	31.1%	37.6%	39.8%	42.5%	43.0%	43.0%
GP	(362)	(161)	89	443	1,251	2,345	3,010	3,810	4,270	4,590
Opex ratio	115.7%	105.3%	78.7%	37.7%	20.3%	12.2%	9.9%	8.4%	7.6%	7.1%
OP	(1,048)	(1,034)	(866)	(396)	434	1,587	2,257	3,056	3,519	3,834
OPM	-176.8%	-124.7%	-71.4%	-17.8%	10.8%	25.5%	29.8%	34.1%	35.4%	35.9%
Non-op	(54)	(12)	26	41	(4)	1	36	86	100	163
Pretax profit	(1,102)	(1,045)	(840)	(355)	430	1,588	2,293	3,141	3,619	3,997
Tax	0	0	1	-	65	238	344	471	543	600
EBITDA	(523)	(527)	(362)	62	919	2,149	2,991	3,987	4,700	5,308
EBITDA YoY		na	na	na	1384%	134%	39%	33%	18%	13%
Net profit	(1,102)	(1,046)	(841)	(355)	366	1,350	1,949	2,670	3,076	3,398
NP YoY		na	na	na	na	269%	44%	37%	15%	10%
EPS	(1.38)	(1.28)	(0.95)	(0.40)	0.41	1.51	2.18	2.99	3.45	3.81
EPS YoY				na	na	269%	44%	37%	15%	10%
Target EV/EBITDA (sector EV/EBITDA)								29.5		
Target EV/EBITDA x 2030 EBITDA								117,626		
Enterprise value (Rmb, 2027E)					89,590					
Debt					2,830					
Cash					979					
Equity value (Rmb, 2027E)					87,739					
Value per share (HKD, 2027E); Target Price					114					
Implied EV/Sales				40	22	14	12	10	9	8
Implied P/E					240	65	45	33	29	26

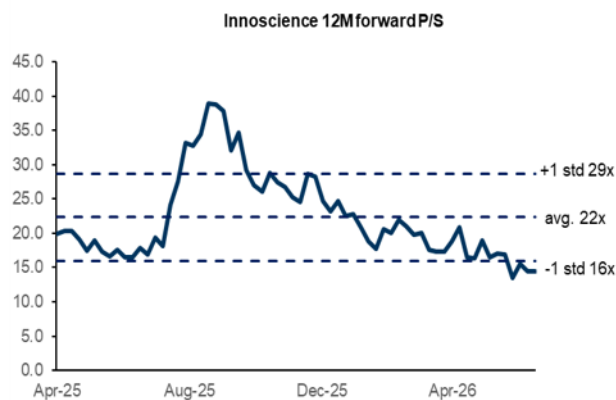
COE	9.5%
Beta	1.0
Risk-free rate	3.0%
Market risk premium	6.5%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 24: The target EV/EBTDA multiple is derived from peers correlation between EBITDA and forward year EBITDA margin and EBITDA growth

	2030E EV/ EBITDA	2030-31E EBITDA growth	2030-31E EBITDA margin	Ratio
Innoscience	29.5	26%	35%	0.5
Peers	2027E EV/ EBITDA	2027-28E EBITDA growth	2027-28E EBITDA margin	Ratio
Starpower	20	13%	31%	0.5
On Semi	23	11%	27%	0.6
ST Micro	16	38%	16%	0.3
ADI	18	15%	48%	0.3
CR Micro	32	26%	25%	0.6
Avg.				0.5

Source: Goldman Sachs Global Investment Research

Exhibit 25: InnoScience 12m forward P/S

Source: Eikon Datastream

M&A framework: We assign an M&A rank of 3 (indicating a low probability of the company being acquired) to InnoScience based on the framework for our China Semiconductor coverage. We also note InnoScience was listed in Dec 2024 and its concentrated shareholding (founder / management team has 40%+ of total shares as of Jan 2026) makes it an unlikely acquisition target in the near to mid-term. Accordingly, we do not include any M&A component in our price target.

Key risks

(1) Slower-than-expected GaN adoption: We expect to see rising penetration of GaN devices across multiple applications to bring better efficiency. If the adoption rate is slower than our expectations, there could be downside risks to our earnings estimates.

(2) Fiercer-than-expected pricing competition of GaN products: With mix upgrades toward high-end applications, we expect to see growing blended ASPs. If there are more entrants, leading to fiercer pricing competition, there could be downside risks to our earnings estimates.

(3) Longer-than-expected time to ramp up new GaN capacity: The company continues to expand new capacity in its GaN factories. If the new capacity ramp up is slower than expected or is being delayed, there could be downside risks to our earnings estimates.

Investment Thesis - InnoScience

InnoScience is the leading GaN (Gallium Nitride) supplier and adopts the IDM model, targeting consumer electronics, automotive, data centers, industrials and humanoid robotics. We expect the company's GaN business to be driven by: (1) the continuous capacity expansion of GaN wafers; (2) expanding applications from fast chargers into automotive (on-board chargers, LiDAR), industrials, data centers, humanoid robots, with mix upgrades driving higher dollar content; and (3) incremental revenues from GaN for VDC rack power architectures to fulfill the requirements of ultra-high power density and ultra-high efficiency. We are Buy rated on InnoScience, and see current valuations as attractive.

Price Target Risks & Methodology - InnoScience

Valuation: Our 12m TP of HK\$114 is based on 2030E discounted EV/EBITDA. Our target multiple of 29.5x for InnoScience is derived from peers' trading EV/EBITDA relative to its forward-year EBITDA YoY and EBITDA margin.

Key risks: (1) Slower-than-expected GaN adoption; (2) fiercer-than-expected pricing competition of GaN products; and (3) longer-than-expected time to ramp up new GaN capacity.

Disclosure Appendix

Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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